trade whenever they want as long as they pay (sometimes a substantial) a transaction cost, but this is not always true because of . . .

3. Search frictions

   For many assets, you need to search to find an appropriate buyer or seller. Only certain investors have the skills to value a complicated structured credit product, for example. Few investors have sufficient capital to invest in skyscrapers in major metropolitan areas. You might have to wait a long time to transact.

4. Asymmetric information

   Markets can be illiquid because one investor has superior knowledge compared with other investors. Fearing they'll be fleeced, investors become reluctant to trade. When asymmetric information is extreme—all the products are lemons, and no one wants to buy a lemon—markets break down.[5] Many liquidity freezes are caused by these situations. The presence of asymmetric information also causes investors to look for nonpredatory counterparties, so information is a form of search friction.

5. Price impact

   Large trades will move markets.

6. Funding constraints

   Many of the investment vehicles used to invest in illiquid assets are highly leveraged. Even investing in a house requires substantial leverage for most consumers. If access to credit is impaired, investors cannot transact in illiquid asset markets.

2.2. CHARACTERISTICS OF ILLIQUID MARKETS

Illiquid asset markets are characterized by many, and sometimes all, of the market imperfections on this list. I refer to these effects as "illiquidity." On the basis of this reasoning, all assets are at least somewhat illiquid—even the large-cap equities that trade many times every second—but of course some assets are much more illiquid than others. Illiquidity manifests as infrequent trading, small amounts being traded, and low turnover. Intervals between trades in illiquid markets can extend to decades. Table 13.1, adapted from Ang, Papanikolaou, and Westerfield (2013), lists average intervals between trading and turnover for several asset classes.[6] First, note that . . .

[5] The lemons market was first described by George Akerlof (1970), who was awarded the Nobel Prize in 2001.

[6] See Ang, Papanikolaou, and Westerfield (2013) for additional references behind the numbers in Table 13.1 and other references in this section.